

Westbrook University

Office of Academic Affairs

Policy No: **FIN-AID-003**

Effective: **August 1, 2024**

Revision: **1.0**

Student Loan Guidelines

1. Types of Federal Student Loans

Westbrook University participates in the William D. Ford Federal Direct Loan Program. The following loan types are available:

- **Direct Subsidized Loans:** Available to undergraduates with demonstrated financial need. The federal government pays interest while the student is enrolled at least half-time.
- **Direct Unsubsidized Loans:** Available to undergraduates and graduate students regardless of financial need. Interest accrues from disbursement.
- **Direct PLUS Loans:** Available to graduate students and parents of dependent undergraduates. Credit check required.

2. Loan Limits

Annual loan limits depend on year in school and dependency status. Freshmen may borrow up to \$5,500 (dependent) or \$9,500 (independent) in subsidized and unsubsidized combined. Aggregate limits are \$31,000 for dependent undergraduates and \$57,500 for independent undergraduates.

3. Entrance and Exit Counseling

First-time federal loan borrowers at Westbrook must complete online Entrance Counseling and sign a Master Promissory Note (MPN) before funds are disbursed. Students who graduate, withdraw, or drop below half-time enrollment must complete Exit Counseling within 30 days to understand repayment obligations.

4. Repayment

Repayment begins 6 months after the student graduates, leaves school, or drops below half-time enrollment. Standard repayment plans span 10 years. Income-Driven Repayment plans are available through the federal student aid portal (studentaid.gov).